Monolithisch India Ltd

Concall Tracker · earning-trigger & management-consistency read · prepared 11 Jul 2026 · NSE: MONOLITH (SME / NSE Emerge)

1. Snapshot

What the business does: Monolithisch makes **ramming mass** — a heat-proof powder that lines the inside of the electric "induction" furnaces that India's smaller (secondary) steel makers use to melt scrap and sponge iron into steel. Every tonne of steel made this way needs about 25-30 kg of this lining, and the lining wears out and must be re-packed every couple of days, so it is a repeat-buy **consumable**, not a one-off sale. The company is the market leader in the *pre-mixed* version (additives already blended in) and supplies around 80% of India's integrated secondary-steel plants from a single plant in Purulia, West Bengal — right next to the eastern steel belt (Odisha, Jharkhand, Chhattisgarh, Bihar). It listed on the NSE Emerge SME platform in 2025.

Figure (FY26, year to Mar 2026)	Value	Plain-English read
Consolidated revenue	Rs 135 cr	Total sales for the year, up about 39% on last year — fast growth. (Screener's standalone line shows Rs 121 cr; the extra comes from the newly-bought Mineral India unit.)
Net profit (PAT)	Rs 23 cr	What was left after all costs and tax, up about 60% — profit grew faster than sales, so the business got more profitable.
Operating margin (EBITDA)	~23.6% (Q4 peak 28.1%)	Roughly Rs 24 of every Rs 100 of sales is operating profit before interest, tax and wear-and-tear — a healthy, rising margin for a commodity-linked product.
Return on capital (ROCE)	30-46%	For every Rs 100 of money put into the business it earns Rs 30-46 a year — very high; the business uses little capital to make good money.
Debt	Almost nil	Borrowings ~Rs 3 cr against Rs 30 cr+ of cash/investments — effectively debt-free, funded by IPO money.
Market value / P/E	Rs 1,600 cr / 82×	The stock is priced at about 82 times yearly profit — **very expensive**; buyers are paying a lot today for growth that still has to arrive. Price Rs 736 (year range Rs 367-800).

2. Concall coverage

Monolithisch is a recent SME listing, so its earnings-call history is short — only **three calls exist**, all read for this report. That is enough to judge the trigger but a **limited base for judging long-run consistency**.

Quarter	Call date	Transcript read?
H1 FY26 (maiden call)	16 Oct 2025	Yes — full
Q3 & 9M FY26	30 Jan 2026	Yes — full
Q4 & full-year FY26	04 May 2026	Yes — full

Span: about 7 months of public disclosure (Oct 2025 - May 2026). Same three managers on every call (Prabhat, Harsh and Kritish Tekriwal — a promoter family).

★ Latest concall highlights — Q4 & FY26 (call held 4 May 2026)

- **Record quarter.** Q4 revenue, EBITDA and PAT rose 35%, 75% and 81% to Rs 41 cr, Rs 11 cr and Rs 8 cr — the strongest quarter yet, with the operating margin jumping to 28.1% (Rs 28 operating profit per Rs 100 of sales). Read: the recent plant upgrade is clearly lifting profitability.
- **FY26 guidance broadly met.** Full-year consolidated sales Rs 135 cr and profit Rs 23 cr — profit beat the Rs 22-24 cr promised a year earlier, though sales landed a touch under the Rs 140-150 cr target. Read: they largely did what they said.
- **Big new target set.** FY27 guidance of Rs 250-300 cr revenue (roughly double) at 22-25% margin, and a "5x by FY28" vision of Rs 450-500 cr — all resting on new capacity coming online. Read: an ambitious promise that is still unproven.
- **Capacity + acquisition progressing.** The Mineral India Global unit (bought from the group) is ready to run at 72,000 tonnes/year (awaiting approvals); the big Greenfield plant is due late Q1/early Q2 FY27, taking group capacity to ~5,74,000 tonnes and, management claims, making them the world's largest ramming-mass maker.
- **Tone:** confident and detailed, but leans heavily on future capacity and on carrying large raw-material inventory "until the war situation normalises."

2b. Business mix & capacity

Domestic vs export

Almost entirely **domestic (~99%)**. Exports are tiny — only about Rs 10-20 lakh a month each to Nepal and Bangladesh (Bangladesh via traders). A future Rajasthan/Gujarat unit near Mundra port is planned to chase Middle-East/Africa exports, but nothing is built yet. Read: this is an India-steel story, not an export story — for now.

Capacity & utilisation

Ran at **~81.5% of a 2,10,000-tonne average capacity** in FY26 (the old core plant was near 97% full before expansion). Capacity is being scaled hard: 1,32,000 (Apr-25) → 2,56,000 (Jan-26) → target **~5,74,000 tonnes by early FY27**. Read: they are building roughly 4× the capacity they started with — the whole story is about filling it.

3. Earning-trigger thesis

The trigger: a large, IPO-funded **capacity build-out** in a structurally growing market. Monolithisch is roughly quadrupling how much ramming mass it can make (from 1.32 lakh to about 5.74 lakh tonnes a year), bolted on a group company it bought (Mineral India, ~Rs 55-60 cr of extra sales), and launched a premium, warranty-backed product (SGB Limited, 15-20% longer furnace life) to lift prices — all while India's scrap-based steel making, which consumes this product, keeps expanding. Because it is the leader, nearly debt-free and earns very high returns on capital, filling this new capacity would multiply earnings. The near-term evidence is already visible: FY26 sales +39%, profit +60%, margins at record highs, the upgrade completed and the acquisition folded in. The catch is that the **biggest slice — the Greenfield plant and the Rs 250-500 cr revenue vision — is still to come**, and success depends on selling 4× the volume without spoiling prices.

Trigger	What management said	Evidence so far	Time horizon	Strength
4× capacity expansion (Brownfield done, Greenfield next)	Reach ~5.74 lakh tonnes by early FY27; peak revenue Rs 450-500 cr	Brownfield completed & 2.56 lakh-tonne capacity achieved on time; Greenfield land bought, machinery being installed	FY27-FY28	**Moderate — proven so far, but the largest part is unbuilt**
Mineral India acquisition	Adds Rs 55-60 cr sales & Rs 10-11 cr profit; bought at book value (~Rs 17 cr)	Made a 100% subsidiary from Nov-25; already lifting consolidated numbers	Live now	**Strong — real and already contributing**
Premium product SGB Limited	60%+ of customers to switch; longer life & warranty lift realisations	~10-12% of customers converted & paying a premium in Q4; rest on trial	FY27	**Moderate — early traction, migration unproven**
Structural steel-demand growth	India steel & ramming-mass market doubling by 2030; unorganised players exiting	Steady demand, but numbers are management estimates (no independent data)	Multi-year	**Moderate — plausible tailwind, hard to verify**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Oct 2025 (maiden call)	FY26 sales Rs 140-160 cr, PAT Rs 22-24 cr; capacity to ~5.74 lakh; Mineral India to be acquired	Guidance reiterated next quarter; Mineral India duly acquired Nov-25	**Delivered (mostly)**
Jan 2026 (Q3)	Reiterated Rs 140-150 cr / EBITDA ~Rs 32 cr; Brownfield "complete"; capacity 2.56 lakh; SGB Limited rollout starting	Brownfield done, 2.56 lakh achieved on schedule; SGB Limited launched	**Delivered**
May 2026 (Q4 / FY26)	Deliver the full-year guide	Sales Rs 135 cr (just below the Rs 140-150 target) but PAT Rs 23 cr (in range) and margins beat	**Partly — slight top-line miss, profit met**
Greenfield & "5x by FY28"	~5.74 lakh capacity early FY27; Rs 250-300 cr FY27, Rs 450-500 cr FY28	On schedule so far — but not yet built or sold	**Too early**

Narrative drift: essentially none. Across all three calls management told the **same story with the same numbers** — capacity expansion, the Mineral India buy, and SGB Limited — and largely delivered on FY26. That steadiness is a genuine plus. Two things temper it: (1) the public record is only three calls / ~7 months, so consistency cannot yet be confirmed over a full cycle; and (2) some housekeeping items to watch — the Mineral India unit was bought from the promoter group (at book value, so no over-payment claimed), interest-free promoter loans are mentioned as a backstop, and the company deliberately carries very high inventory, which pushes its cash-conversion cycle out to ~184 days and ties up working capital.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete and already-funded driver — a 4× capacity build-out plus an earnings-accretive acquisition and a premium product — in a market where the company is the low-cost leader. It is visibly playing out (FY26 profit +60%, record margins, brownfield done, acquisition consolidated). The verdict is YES, with the honest caveat that the **largest, most valuable part (the Greenfield plant and the Rs 250-500 cr vision) is still unbuilt** and depends on absorbing a huge jump in output.

Management consistent? → MAYBE

The record so far is good: the same story was repeated and largely delivered across three calls, profit met guidance and margins beat. But the leaning is only MAYBE — not YES — because the public track record is very short (three calls, ~7 months), FY26 sales came in slightly under the top-line guidance, and the boldest promises (doubling then 5×-ing revenue) are still ahead and untested. There is no drift to fault; there simply is not enough history yet to call it fully proven.

Key cautions for the reader

- **Very rich price:** 82× earnings and a Rs 1,600 cr value on Rs 23 cr of profit — priced for near-flawless execution; little room for disappointment.
- **Small, thinly-traded SME:** ~2,100 shareholders, 74% promoter-held — can be illiquid and volatile.
- **Big-capacity bet:** revenue must roughly triple to fill new plants; several rivals are also expanding, so oversupply is a real (though management-dismissed) risk.
- **Customer & input risks:** top two customer groups are ~24-25% of volume, and key additives (boric acid, boron oxide) are imported and dollar-linked with sharp price swings.

Sources: Monolithisch India Ltd earnings-call transcripts of 16 Oct 2025, 30 Jan 2026 and 4 May 2026 (via Screener.in); Screener.in financial snapshot tables. Consolidated figures are as stated by management; Screener's standalone lines differ where noted. This is not investment advice — do your own due diligence.